

FortyNinerTrucking LLC

To Subcontractor,

Enclosed is the Subcontractor agreement, please read and sign then return to our office. We will keep this in your file as part of our Subcontractor contract with you.

If you have any questions or concerns, please feel free to contact me at (925) 250-4605.

Thank you in advance for your understanding

FortyNinerTrucking LLC

FortyNinerTrucking LLC

SUBCONTRACTOR AGREEMENT

This Subcontractor Agreement is entered into as of this _____ day of _____, 20_____, by and between FortyNinerTrucking LLC (hereinafter referred to as the Prime Carrier) and _____ (hereinafter referred to as the Subcontractor).

1. Transportation Services. The subcontractor is not an employee of the Prime carrier and agrees to furnish transportation of certain materials consisting of rock, sand, gravel, earth, asphalt, concrete, and other materials, when contracted by the Prime Carrier, and to specific equipment required by the customer and perform all services required for such. Subcontractor agrees to provide Prime Carrier with transportation services to and from points and places within California and outside of the state at such time, and to such destinations as may, from time to time, be designated by the Prime Carrier's shipper/customers subject to the provisions of this Agreement.
2. Authorizations and Licenses. Subcontractor shall be the holder of all State, Federal, County or City certificates, permits, registrations, authorizations and licenses which are required or necessary for the operation of business as a truck carrier and for the performance of services covered by this Agreement. Specifically, Prime Carrier requires Subcontractor to hold a current member certificate with an approved Motor Carrier Drug Testing Program. Subcontractor will continue to hold such certificates, permits, registrations, authorizations and licenses in full force and effect at all times while providing services covered by this Agreement.
3. Subcontractor warrants that the equipment supplied by Subcontractor for the performance of services under this Agreement is fully licensed for operation in the State of California and complies with all licensing conditions and/or safety requirements imposed upon the Prime Carrier by the State of California regarding operations for the Prime Carrier's Subcontractors. Subcontractor will not, except on specific written authorization of the Prime Carrier, obligated the Prime Carrier for payment, use or operation of said equipment. Subcontractor also warrants that its equipment fully complies with all CARB diesel emissions requirements.
4. Other Services. Prime Carrier shall have the right to use the services of any other contractor or subcontractors of its choice. Subcontractor shall have the right to refuse to perform specific requests by the Prime Carrier to provide transportation services. Additionally, Subcontractor shall have the right to perform transportation services for

carriers other than the Prime Carrier. It is recognized and understood by both Prime Carrier and Subcontractor that both routinely contract with other businesses for similar services.

5. Insurances.

- a. Auto Liability, Subcontractor will carry, at its own expense, insurance upon the equipment used in the performance of this Agreement in the following minimum amounts: Auto Liability \$1,000,000 combined single limit and unidentified trailer and interchange coverage; or such increased amounts as required as required by the State of California. Subcontractor agrees to name the Prime Carrier as an additional insured in the Subcontractor's policies and to deliver to the Prime Carrier copies of the insurance endorsements and certificates of insurance of the Subcontractor. It is also agreed that such insurance protection extended to the Prime Carrier as the additional insured shall be primary insurance and any other protection to Prime Carrier shall be excess over such insurance. Such insurance policies shall provide that they shall not be canceled by the Subcontractor or his insurance company without at least ten (10) days' written notice thereof served on the Prime Carrier by said insurance company. It is understood that no transportation shall be performed under this Agreement until such certificates of insurance have been received by the Prime Carrier. Subcontractor shall have sole responsibility for selecting the insurance company to provide such insurance coverage.
- b. Physical Damage Coverage, Subcontractor's renting Prime Carrier's equipment shall carry, at its own expense, physical damage coverage in the following amounts dependent upon the type of equipment Subcontractor is renting.
 - Double Bottom Trailers- \$10,000 per trailer
 - Semi Bottom & Transfer Trailers- \$15,000
 - End Dump Trailers- \$25,000 roll over coverage
 - Super Dump Box- Agreed upon value
- c. Workers' Compensation. Subcontractor, if applicable, shall be responsible for and carry adequate Workers' Compensation Insurance and pay all applicable premiums and taxes as may be required for himself &/or his employees. If Subcontractor employs employees, Subcontractor shall deliver to the Prime Carrier a Certificate of Workers' Compensation Insurance. No payment will be made until a Certificate of Insurance has been received by the Prime Carrier. Subcontractor agrees that neither Subcontractor nor its employees are eligible for coverage under the Workers' Compensation policy held by the Prime Carrier, and Subcontractor agrees that it is not entitled to make any claim with respect to the Workers' Compensation policy held by the Prime Carrier.

6. Subcontractor. Subcontractor represents and warrants that its business is that of a Subcontractor and shall provide services covered by this Agreement only as a Subcontractor, and not as an employee of the Prime Carrier. Subcontractor shall report all compensation paid to it pursuant to the terms of this Agreement as self-employment income and shall be solely responsible for all matters relating to such payment, including, without limitation, compliance with social security laws, withholding, employment taxes and all other laws and regulations governing compensation. In addition, Subcontractor shall be solely responsible for all matters relating to the payment of itself and its

employees, including, without limitation, compliance with social security laws, withholding, employment taxes, workers' compensation insurance, disability insurance, and all other laws and regulations governing compensation and benefits. Subcontractor shall not hold out itself or any of its employees as an employee of the Prime Carrier, and shall ensure that all business cards, stationary or other methods of communication with the general public do not state or imply that Subcontractor or any of its employees is an employee of the Prime Carrier.

7. Indemnification.

- a. Subcontractor shall defend, indemnify and hold harmless Prime Carrier and each of its employees, agents and representative form and against any and all claims, demands, losses, damages, liabilities, costs, expenses, or obligations whatsoever, including reasonable attorney's fees which Prime Carrier may suffer or incur from any act or omission of Subcontractor, or because of the failure of Subcontractor's insurance carrier to defend any action against Prime Carrier or settle any judgment against Prime Carrier arising out of any action, incident, or other happening, regardless of how any injury, loss or damage may be caused or suffered by reason of the concurrent or contributory negligence, whether affirmative, active, or passive of Prime Carrier its agents, employees, representatives, or Subcontractors.
- b. The foregoing indemnity and hold harmless obligation of Subcontractor includes and applies without limitation to any strict liability imposed by law and to injury and damage to Prime Carrier, Subcontractor, or third parties, or any or all of them, and their respective property, employees, agents, and representatives, regardless of how any injury, loss or damage may be caused or suffered by reason of the concurrent or contributory negligence, whether affirmative, active, or passive of Prime Carrier its agents, employees, representatives, or subcontractors.
- c. The indemnity and hold harmless agreement shall apply as a separate and distinct agreement and shall not be limited by the provisions of any insurance policy held by or for Subcontractor.
- d. Notwithstanding the foregoing, Subcontractor liability hereunder shall not include any responsibility for or obligation to indemnify and save Prime Carrier harmless from loss, damage, or expense arising from the sole negligence or willful misconduct of Prime Carrier, or its agents or servants who are directly responsible to Prime Carrier.

8. Costs. In performing services under this Agreement, the Subcontractor shall, except as otherwise agreed upon in writing, be responsible for paying all costs and expenses incidental to the performance of such service. In this regard, the Subcontractor shall be responsible for paying its own vehicle license fees, property taxes, tolls and labor costs, and for paying for its own insurance, fuel, oil, lubrication, tires and equipment repairs and maintenance, and all other costs related to the operation of the equipment. In the event that Prime Carrier agrees to sell any items or services to the subcontractor, the cost of such items shall be deducted from the Subcontractor's pay statement.

9. Control of Work. The Subcontractor shall direct the operation of his equipment in all respects and shall determine the method, means, and manner of performance, including but not limited to such matters as:

- a. When a load is to be picked up (within customer requirements)

- b. How the vehicle is to be loaded, tied down and unloaded
 - c. Rest and meal stops
 - d. Selection of routes
 - e. Where vehicle is to be repaired
 - f. Selection of oil and gas stops
 - g. If and when its own credit cards should be used
 - h. Time of delivery (within customer requirements)
 - i. If Subcontractor or its employees should hire additional labor to load or unload the goods at pickup and destination points
 - j. Its own working hours
 - k. Its employees' working hours, compensation and conditions of employment
 - l. Which insurance company will provide insurance coverage
 - m. The method of financing its vehicle or vehicles
10. Prime Carrier is interested only in the results achieved by Subcontractor and shall have no right to control the means by which Subcontractor achieves those results. For example, Prime Carrier shall provide no training, instructions or guidance to Subcontractor in its activities. Prime Carrier shall not require regular interim or status reports from Subcontractor. Subcontractor shall use its own methods and skills to accomplish the work. Subcontractor shall have the exclusive authority to control and direct the performance of the work performed under the Agreement (within customer requirements).
11. Delivering, Loading and Unloading. Subcontractor shall deliver customers' items, load and unload shipments, and perform such other transportation and related service as may be necessary to serve the customers and to protect said items against loss and damage.
12. Equipment. Subcontractor shall furnish, at its own expense, whatever labor, materials, equipment it deems necessary for, or reasonably related to, the delivery, unloading and hauling of shipments pursuant to the terms of this Agreement.
13. Employment of Assistants. Subcontractor shall furnish at its own discretion, selection and expense any labor required incidental to the operation of the equipment involved in the performance of this Agreement and the pick-up, parking, unloading, assembling, disassembling, and delivery of shipments in the performance of this Agreement.
14. Subcontractor shall be solely responsible for the direction and control of the employees, agents and servants of the Subcontractor, if any, including their selection, hiring, firing, supervision, assignments and direction, the setting of wages, hours and working conditions, and the adjustments of their grievances. Subcontractor shall determine the method, means and manner of performance of the work of his employees, agents, and servants, if any, and their performance of this Agreement.
15. Subcontractor assumes full and sole responsibility for the payment of all wages including, and without limitation to, prevailing wages, benefits and expenses of himself and/or his employees, if any, and for all state and federal income tax withholdings, unemployment insurance and Social Security taxes as to all persons employed by the Subcontractor in the performance of services under this Agreement, and Subcontractor shall be responsible for meeting and fulfilling the requirements of all regulations now or hereafter prescribed by legally constituted authority with respects thereto. Prime Carrier shall not be responsible for the wages (including, without limitation, prevailing wages), benefits, or expenses due the Subcontractor and/or the Subcontractor's employees, agents

or servants nor for income tax withholdings, Social Security, unemployment, or other payroll taxes of the Subcontractor and/or the Subcontractor's employees, agents or servants. Subcontractor shall defend, indemnify, and hold harmless the Prime Carrier from any and all liability the Prime Carrier may incur by the Subcontractor's failure to comply with this paragraph.

16. Prime Carrier is not authorized to withhold state or federal income taxes, Social Security taxes, unemployment insurance taxes, or any other local, state or federal tax on behalf of the Subcontractor or the Subcontractor's employees.
17. All pay, benefits and working conditions of the Subcontractor's employees are a matter of agreement solely between the Subcontractor and its employees except to the extent that such matters are dictated by federal and California state law.
18. Prime Carrier shall have no obligation or responsibility to the Subcontractor or the Subcontractor's employees, agents or servants for any fine, costs, or expense incurred by the Subcontractor or any of its employees by reason of the Subcontractor's failure to have proper markings on its equipment, or by reason of any violation by the Subcontractor or his employees, of any law, ordinance or regulation in and through whose jurisdiction the Subcontractor or its employees may be operating in the performance of the Agreement.
19. Subcontractor will accept responsibility for any violations of the law by Subcontractor or Subcontractor's employees.
20. Compensation. Subcontractor's renting Prime Carrier's equipment shall be paid at Prime Carrier's pay rate, less a Broker's fee/Trailer Rental fee of 25% or, for Subcontractor's renting Ten-Wheeler Boxes, less a broker's fee/Trailer Rental fee of 20%. Subcontractor's not renting Prime Carrier's equipment shall be paid at the Prime Carrier's full unit pay rate less a 7.5% Broker's Fee.
21. Invoicing and Supporting Documentation
 - a. The Prime Carrier shall furnish to Subcontractor's renting Prime Carrier's equipment, a "Truck Tag" which shall serve as the basis accounting record with respect to each load hauled. Subcontractor's not renting Prime Carrier's equipment shall furnish their own "Truck Tag". It shall be the Subcontractor's responsibility to complete the Truck Tag accurately, procure the necessary signatures, and deliver or mail all Truck Tags for each day's operation along with any additional documents such as Scale tickets, Dump Tickets and/or Manifests to the Prime Carrier's office within one week of the work performed date. All Truck Tags turned in are to be 100% filled out or the Prime Carrier will not accept them for payment. The Prime Carrier and the Subcontractor are both subject to being fined (by regulatory authorities) if this regulation is not carried out by the Subcontractor. Truck tags for the last day of the month must be received by the Prime Carrier's office no later than the first day of the month following the month in which the work was performed. Truck Tags received after the date will be processed for payment with the next month's business. Payment is not guaranteed for Truck Tags received more than 30 days after the work was performed.
 - b. Subcontractor shall furnish the Prime Carrier with a monthly statement. Payment for services performed by Subcontractor's renting Prime Carrier's equipment, will be made on the 25th of the month following the work performed month. If the 25th falls on a weekend or holiday, payment will be made on the following business

day. Full Unit Subcontractor's shall be paid one week later, on the 1st of the following month.

22. **Safety/Maintenance.** Subcontractor represents and warrants that all trucks and truck tractors furnished by it or used by it in connection with all subcontracting done under this Agreement shall be maintained as roadworthy and safe and shall fully comply with any and all law, rules and regulations including CARB requirements. Subcontractor shall furnish to the Prime Carrier, upon request, Truck and Truck Tractor Maintenance and Safety Inspection Reports. Subcontractor's renting Prime Carrier's equipment must provide Prime Carrier with daily inspection forms, provided by the Prime Carrier's equipment must provide Prime Carrier with daily inspection forms, provided by the Prime Carrier, of Prime Carrier's equipment. Subcontractor's renting Prime Carrier's equipment must deliver to Prime Carrier's terminal at a minimum of every 90 days for inspection, service & repairs.
23. **Liabilities.** Nothing in this Agreement shall be construed to authorize the Subcontractor to incur, and the Subcontractor shall be expressly prohibited from incurring any financial liability in the name of, for, or on behalf of the Prime Carrier. The Subcontractor shall be responsible for any financial liabilities incurred by it in contravention of the foregoing. Where the Subcontractor or drivers engaged by the Subcontractor incur costs, and/or damage equipment or property belonging to the Prime Carrier, the Subcontractor shall reimburse the Prime Carrier all such damages to the extent that they are not covered by the Subcontractor's insurance. In the event of such claim, loss or damage, the Prime Carrier shall have the right to withhold payment of any sums due to the Subcontractor until such claims, losses, or damage, including attorney's fees and costs have been settled or until the Prime Carrier shall be reasonably satisfied that the Subcontractor has sufficient insurance to cover said claim, loss or damage and that such insurance coverage is applicable thereto.
24. The Subcontractor assumes all liability for any property damage, claims and/or cargo claims, such as but not limited to, overloading, spillage, loss of load, etc. Subcontractor hereby agrees to defend, indemnify and hold the Prime Carrier harmless from all claims arising out of its negligence, relations with its drivers, and employees and any and all claims of a third person for property and/or cargo claims arising out of the transportation service contemplated hereunder. If the Prime Carrier shall become involved in any way, the Subcontractor shall pay, and the Prime Carrier may withhold, all expenses, including reasonable attorneys' fees, incurred by the Prime Carrier therein.
25. In the event that any tribunal of competent jurisdiction enforces any judgment against the Prime Carrier for any labor costs resulting from any employment relationship of employees, agents or contractors of the Subcontractor, the Subcontractor agrees to indemnify the Prime Carrier for all such costs. As state herein, labor costs include, but are not limited to, all wages and salaries (including, without limitation, for prevailing wage), penalties, state and federal employment income taxes, social security taxes, workers' compensation, unemployment, disability, and any fringe benefit payments, and any other employer contributions as required by law. Moreover, the Subcontractor agrees that the Prime Carrier shall have no responsibility whatsoever to the Subcontractor agrees that the Prime Carrier shall have no responsibility whatsoever to the Subcontractor, its drivers, helpers, or any other of its employees for payment of any wages, benefits, fines,

penalties, or subsistence or for any resulting expenses of any nature incurred in the performance of this Agreement.

26. In the event any provisions of this Agreement shall be held to be invalid, the same shall not affect in any respect whatsoever the validity of the remainder of this Agreement.
27. Subcontractor's rights and obligations under this Agreement are personal to the Subcontractor, and he shall not have the right to assign any of his rights or delegate any of his duties without the express written consent of the Prime Carrier. Any assignment or delegation which has not been approved by Prime Carrier shall be void and shall constitute a default by the Subhauler.
28. The Agreement contains the entire understanding between the parties and supersedes, replaces, and takes precedence over any prior understanding or oral or written agreement between the parties respecting the subject matter of this Agreement. No operation, plan, procedure, practice, method or custom shall in any manner vary or change the terms and conditions of this Agreement. This Agreement may only be amended by the written consent of both the Prime Carrier and the Subcontractor at the time of such amendment. This Agreement shall be governed by and construed in accordance with the laws of the State of California. Jurisdiction and venue shall rest in the Northern District of California.
29. Any notices to be given by either the Subcontractor or Prime Carrier to the other may be effected either by personal delivery in writing or by mail, certified postage prepaid with return receipt requested. Mailed notices shall be addressed to the Subcontractor and Prime Carrier at the addresses appearing below, but each may change that address by written notice in accordance with this paragraph. Notices delivered personally will be deemed communicated as of the actual receipt; mailed notices will be deemed communicated as of two (2) days after mailing.
30. Arbitration.

- a. In the event of any dispute or claim relating to or arising out of this Agreement, the parties agree that any and all disputes shall be fully and finally resolved by binding arbitration conducted by the American Arbitration Association ("AAA") according to its then existing rules, found at www.adr.org/commercial. The parties agree that any claims shall be brought in the party's individual capacity, and not as plaintiff or class member in any purported class, collective, or representative processing. The parties agree that they are waiving any and all rights to a jury or court trial but all remedies and relief available in court will be available in arbitration.

The parties understand that they are waiving their rights to have a claim adjudicated by a court or jury.

The parties further understand and agree that they are waiving their right to be a party or class member in any purported class, collective, or representative proceeding alleging any claims.

- b. All disputes shall be resolved by a neutral arbitrator, selected in accordance with the AAA rules, who is licensed to practice law in California. The arbitrator shall have the exclusive authority to resolve any dispute relating to the interpretation, applicability, enforceability, validity, or formation of this arbitration provision and this Agreement. The arbitration shall provide for adequate discovery and shall take place within the Northern District of California. The arbitrator shall apply the substantive law of California or federal law, or both, as applicable to the claim

asserted and the arbitrator shall issue a written opinion which shall be final and binding upon the parties.

- c. Arbitration shall be the exclusive forum for any claims. Should the parties attempt to resolve a claim by any other method, the prevailing party in any civil court motion to compel arbitration will be entitled to recover from the other party all costs and attorneys' fees incurred as a result of that motion to compel. The prevailing party in any court action or arbitration shall be entitled to recover its reasonable attorney fees and costs.
- d. Should any claim be allowed to proceed in court, the parties agree to be a stay of any litigation which includes causes arising from facts similar to those in arbitrable claims, pending resolution of those claims in arbitration.

31. This Agreement shall automatically renew on December 31, 20__ unless terminated in writing prior thereto by the Prime Carrier and the Subcontractor. This Agreement can be terminated earlier by the Prime Carrier if Subcontractor fails to perform his duties (a) to the very best of his abilities, (b) in good faith, (c) in a reasonable manner consistent with good industry standards, or (d) consistent with the terms of this Agreement. Prime Carrier shall provide five (5) days prior verbal notice of termination of this Agreement. Subcontractor can terminate this Agreement after providing fourteen (14) days written notice of termination. Failure to provide notice to Prime Carrier by Subcontractor may result in a back-charge fee. Upon termination subcontractor will return Prime Carrier's equipment to Prime Carrier's terminal in a clean condition.

In WITNESS WHEREOF, the parties hereto have caused this Agreement to be executed this _____ day of _____, 20_____.

SUBCONTRACTOR:

NAME: _____

ADDRESS: _____

PHONE: _____

PRIME CARRIER

By: _____

FortyNinerTrucking LLC

I have read and understand all 8 pages.

Signature: _____